

Profit Niti – AI Report (2025-04-01 / 2025-12-01)

Last Month KPI Data (December 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 66 - STEADY 14% Last month 58 - SHAKY	 Impact Of Decisions -575,767 -110% Last month 5,934,308

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded through a mix of equity and debt. The total equity grew from ₹12.44 lakh in April to ₹46.69 lakh in November. Total debt has reduced from ₹18.29 lakh to ₹11.06 lakh over the same period.

The Debt to Equity ratio improved significantly from 1.47 in April to a healthy 0.24 in November, indicating a strong shift towards equity financing and reduced reliance on borrowings. Your Net Debt position turned negative in November at ₹-2.95 lakh, meaning you have more cash than debt.

Operating cash flow has been volatile, starting at ₹-25.42 lakh in April but improving to ₹12.78 lakh in November. The Cash Flow to Debt ratio also turned positive, reaching 1.16 in November, showing improved ability to service debt from operations.

Strategic Advice:

The shift to a stronger equity base and reduced debt is commendable. Maintain this conservative capital structure. With a negative net debt position, you have liquidity to fund future growth internally. Consider using the strong cash position to negotiate better terms with vendors or for strategic capital expenditure, rather than taking on new high-cost debt.

7. Balance Sheet Health — Financial Fitness

Your total equity has grown strongly from ₹12.44 lakh in April to ₹46.69 lakh in November. The company's total assets have also increased from ₹36.08 lakh to ₹64.76 lakh over the same period.

Your debt position has improved significantly. Total debt has reduced from ₹18.29 lakh in April to ₹11.06 lakh in November, and the Debt to Equity ratio has improved from 1.47 to a healthy 0.24.

Liquidity remains strong with a high Current Ratio, ending at 7.81 in November. However, working capital management shows volatility, with debtor days improving from 105.49 days in April to 43.56 days in November.

Strategic Advice:

Capitalise on the strong equity growth and reduced debt to secure favourable terms for expansion. Maintain focus on the improved debtor collection cycle to ensure consistent cash flow.

1. Big Picture — How the Business Looks Right Now

The business has shown strong growth in the last month, with Total Equity and Liabilities reaching ₹64.76 lakh in November, up from ₹36.08 lakh in April. Sales performance is volatile, peaking at ₹20.24 lakh in November but with significant dips in between, such as ₹3.69 lakh in June. Profitability has been inconsistent, with a Current Year Profit of ₹14.64 lakh in November following a loss of ₹6.89 lakh in August.

GREEN FLAG BOX — What's Working Well

- Strong profitability recovery: Net Profit surged to ₹14.64 lakh in November with a high Net Profit % of 72.31.
- Excellent liquidity position: Current Ratio remains very healthy, at 7.81 in November, indicating strong short-term financial strength.
- Significant debt reduction: Secured Long-term Borrowings have been reduced from ₹8.23 lakh in April to a negative balance of ₹-4.18 lakh in November, improving the Debt to Equity ratio to 0.24.

RED FLAG BOX — What Needs Attention

- High revenue volatility: Sales dropped 74.81% from May to June and 59.19% from September to October, indicating unstable demand or order flow.
- Negative operating cash flow: Cash flows from Operating Activity was negative in 5 out of 8 months, including -₹18.57 lakh in November, straining liquidity generation.
- Spike in overheads: Overheads % reached 271.05 in August, severely impacting that month's profit and highlighting potential cost control issues.

Strategic Advice:

Prioritise converting high profits into consistent operating cash flow by tightening debtor collection, evidenced by 120.07 Accounts Receivable Days in October. Stabilise sales through better forecasting and client diversification to reduce the severe monthly revenue fluctuations.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of 271.05% seen in August are controlled to the level of November (27.69%), the Net Profit could be sustained near ₹14.63 lakh, similar to the strong performance in November.

- **Scenario B - Cash Focus:** If debtor days are reduced from the peak of 159.37 days in June to the level of November (43.56 days), the cash flow from operations could improve significantly from the negative ₹24.07 lakh in April.
- **Scenario C - Balanced:** Combining controlled overheads with improved debtor collection could enhance both profitability and cash, potentially raising the Return on Equity closer to the November level of 376.14% while strengthening the cash position.

2. Profit Power — The Earning Engine

Your profitability shows high volatility, with Operating Profit swinging from a loss of ₹1.35 lakh in April to a profit of ₹14.64 lakh in November. The Net Profit % was -36.92% in April but improved significantly to 72.31% by November. This indicates a strong recovery in the latter part of the period.

Overhead expenses are a major driver of this volatility. Overheads % was very high at 271.05% in August, causing a large loss, but was controlled to 27.69% in November alongside high sales. Sales revenue itself fluctuated, from ₹3.67 lakh in April to ₹20.24 lakh in November.

The Return on Equity % reflects this journey, starting at -130.72% in April and ending at a strong 376.14% in November. This suggests the business is generating substantial profit relative to owner's investment, though the path was uneven month-to-month.

Strategic Advice:

Stabilise monthly overheads, particularly employee costs which spiked in August, to protect profitability during lower sales months. Leverage the high Return on Equity in profitable months to build reserves for future investments or downturns.

9. Operational Insight Engine — Ground-Level Trends

Sales performance has been volatile, starting at ₹3.67 lakh in April and reaching ₹20.24 lakh in November. The average invoice value has fluctuated, from ₹3,665 in April to a high of ₹6,373 in June, before dropping to ₹1,959 in October.

Purchase volumes are significantly higher than sales, with a peak of ₹1.74 crore in June. Inventory movement shows high churn, with outward quantities often exceeding inward, such as 1.70 crore out vs 1.10 crore in during June.

Debtor collection efficiency improved, with Accounts Receivable Days reducing from 105.49 days in April to

43.56 days in November. Vendor payment terms show Accounts Payable as a negative liability, indicating an unusual creditor position.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a cumulative profit of ₹31.06 lakh from April to November. However, the cash flow from operating activities was negative ₹18.57 lakh in November, showing a significant gap between profit and cash realisation.

This gap is primarily due to working capital blockages. Debtor days improved from 105.49 days in April to 43.56 days in November, but trade receivables increased to ₹28.99 lakh. Vendor payments (accounts payable) stood at ₹-12.37 lakh in November, indicating a net advance payment scenario that strains cash.

Your cash balance grew from ₹12.05 lakh in April to ₹14.01 lakh in November. Financing activities provided a net cash inflow of ₹5.25 lakh in November, which helped offset the negative operating cash flow.

Strategic Advice:

Focus on accelerating collections to convert profits into cash. Negotiate better payment terms with vendors to align outflows with your cash cycle and reduce the reliance on external financing for working capital.

4. Cash Management — Daily Cash Rhythm

The debtor collection period (Accounts Receivable Days) has improved significantly from 105.49 days in April to 43.56 days in November. This indicates a much faster conversion of sales into cash.

Your working capital days, which represent the cash conversion cycle, have also reduced from 105.49 days to 43.56 days over the same period. This shows a more efficient overall cash rhythm in the business.

However, the monthly cash flow from operating activities has been volatile, ranging from an outflow of ₹24.07 lakh in April to an inflow of ₹12.78 lakh in November. The closing cash balance has grown from ₹12.05 lakh to ₹14.01 lakh.

Strategic Advice:

Capitalise on the improved collection efficiency by maintaining strict credit terms. To stabilise monthly

cash flows, align your procurement and expense payments more closely with your high-revenue months like May, September, and November.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Reduce debtor days from 120.07 days (Oct) to below 50 days. Accelerate collection on receivables of ₹28.99 lakh (Nov).	Increase cash balance from ₹10.62 lakh (Oct) to above ₹14.01 lakh (Nov level).	Improve operating cash flow from -₹1.86 lakh (Nov) to positive, strengthening liquidity for daily operations.
31-60	Profit	Control overhead costs, which spiked to 271.05% in Aug. Aim to maintain overhead % near the 27.69% level achieved in Nov.	Sustain Net Profit % above 70%, as seen in May (73.08%) and Nov (72.31%), avoiding losses like Aug (-171.05%).	Stabilise monthly profit, building retained earnings which grew from -₹1.35 lakh (Apr) to ₹14.64 lakh (Nov).
61-90	Growth	Leverage high sales months (₹20.24 lakh in Nov) and improve asset turnover from 3.70 (Nov) further. Manage purchase volume efficiently.	Achieve consistent revenue above ₹16.98 lakh (Sep level) and grow total equity from ₹46.69 lakh (Nov).	Enhance Return on Equity, which reached 376.14% in Nov, and reduce reliance on debt (Debt to Equity is 0.24 in Nov).